**NATIONAL COMPANY LAW TRIBUNAL**
**GUWAHATI BENCH**
**GUWAHATI**

**CP (CAA) No. 08/GB/2022**
**In CA (CAA) No. 16/GB/2021**

**Coram:**
**Hon'ble Shri Deep Chandra Joshi, Member (J) : Hearing through**
**Hon'ble Shri Prasanta Kumar Mohanty, Member (T) : Video Conferencing**

**ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF THE NATIONAL COMPANY LAW TRIBUNAL, GUWAHATI BENCH ON 20.04.2023**

In the matter of:

**M/s. Vanashree Properties Pvt. Ltd. & Four others (Transferor Companies)**

**And**

**M/s. Prime Holdings Pvt. Ltd. (Transferee Company)**

Section: Section 230-232 of Companies Act, 2013

| S.No. | NAME (CAPITAL LETTERS) | DESIGNATION | REPRESENTATION | SIGNATURE |
|---|---|---|---|---|
| 1. | MR. S. K. AGARWAL | CA | Petitioners | Present in Video Conference |

**ORDER**

The Applicant is represented through respective Learned Counsel (s).

The case is fixed for pronouncement of order.

The Order is pronounced in the open court, through video conferencing vide separate sheet.

**Sd/-**

**(PRASANTA KUMAR MOHANTY)**
**MEMBER (TECHNICAL)**

**Sd/-**

**(DEEP CHANDRA JOSHI)**
**MEMBER (Judicial)**

**NATIONAL COMPANY LAW TRIBUNAL**
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**Coram:**
**Hon'ble Shri Deep Chandra Joshi, Member (J) : Hearing through**
**Hon'ble Shri Prasanta Kumar Mohanty, Member (T) : Video Conferencing**

**In the matter of:**

1. **Vanashree Properties Private Limited.,** a Private Limited Company incorporated on 30th May, 2008 under the Provisions of the Companies Act, 1956 bearing CIN: U45201AS2008PTC008687 and PAN No.AACCV7844A) and having its registered office at Makum Road, Tinsukia, Assam 786125, India

**(Transferor Company No. 1)**

2. **S.M. Management Private Limited,** a Company incorporated on 28th January,2005 under the provisions of the Companies Act, 1956 bearing CIN: U74140AS2005PTC007642 and PAN No.AAGCSO8063C having its registered office at Makum Road, Tinsukia, Assam 786125, India

**(Transferor Company No. 2)**

3. **Mastermind Shoppers Private Limited,** a Company incorporated on 01st August, 2011 under the provisions of the Companies Act, 1956 bearing CIN: U51909WB2011PTC165678 and PAN No.AAHCM3534B having its registered office at 16A, Shakespeare Sarani, 2nd Floor, New B. K. Market, Kolkata 700071, India

**(Transferor Company No. 3)**

4. **Brijbhumi Merchants Private Limited,** a Company incorporated on 19th July, 2011 under the provisions of the Companies Act, 1956 bearing CIN: U51909WB2011PTC165053 and PAN No.AAECB6242L having its registered office at Makum Road, Tinsukia, Assam 786125, India

**(Transferor Company No.4)**

5. **Brijbhumi Tradevin Private Limited,** a Company incorporated on 19th July, 2011 under the provisions of the Companies Act, 1956 bearing CIN: U51909WB2011PTC165056 and PAN No.AAECB6243M) having its registered office at 16A, Shakespeare Sarani, 2nd Floor, Kolkata 700071.

**(Transferor Company No. 5)**

**AND**

1. **Prime Holdings Private Limited,** a Private Limited Company incorporated on 23rd February, 1994 bearing CIN: U70101AS1994PTC004092 and PAN No.AABCP1738Q, having its registered office at Makum Road, Tinsukia, Assam 786125, India

**(Transferee Company)**

**Order delivered on 20.04.2023**

**O R D E R**

**[Per: Hon'ble Shri Prasanta Kumar Mohanty, Member (T)]**

1. This Present Joint Applications have been filed under Sections 230-232 of the Companies Act, 2013 seeking sanction of this Tribunal to a Scheme of Amalgamation between the Transferor Companies and the Transferee Company and their respective Members and/or Creditors, for merger of the Transferor Companies with the Transferee Company, whereby and where under the Transferor Companies together with all the assets, properties, entitlements,

rights, benefits and advantages, liabilities and obligations relating thereto is proposed to be transferred to and be vested in the Transferee Company on the terms and conditions and their respective Shareholders and Creditors ["Scheme"] with effect from the Appointed Date as mentioned in the Scheme.

2. The Petitioner Companies viz., **Transferor Companies and the Transferee Company** had earlier filed a joint petition i.e. **CA (CAA) 16/GB/2021** before this Tribunal for sanctioning of the proposed Scheme of Amalgamation and various other prayers which this court vide its order dated 24th March, 2022, has recorded that:

> *"13. Having heard the learned CS, Ms. Pooja Agarwal for the Applicant Companies and by considering the consent affidavits filed on behalf of the shareholders and secured creditors as well as by the majority in debts value of unsecured creditors of the Applicants Companies to approve the Company Scheme and by waiving their right to participate in such meeting, the meeting of the Shareholders, Secured and Unsecured Creditors of the Applicant Companies are hereby dispensed with as prayed for.*
>
> *14. Therefore, in our view, the present Company Application deserves to be allowed. Accordingly, it is allowed in terms of the prayer clause and subject to following directions:*
>
> *i. The Applicant Companies to issue a notice, in Form No. CAA.3 along with disclosures mentioned under Rule 6, as per the provisions of Section 23 (5) read with Rule 8 of the Companies Act, to*
>
> *1) The Central Government through the Regional Director, North East Region, Ministry of Corporate Affairs, Guwahati*
> *2) The Central Government through the Regional Director, Eastern Region, Kolkata*
> *3) The Registrar of Companies, Kolkata*
> *4) The Registrar of Companies, Guwahati*
> *5) The Official Liquidator, High Court, Kolkata*
> *6) The Official Liquidator, High Court, Guwahati*
> *7) Income Tax Authorities concerned and the Assessment Officers of Income Tax relating to both the Transferee and Transferor Companies by informing that their representations, if any, to be made within a period of 60 days from the date of receipt of such notice, failing which it would be presumed that they have*

*no objections to make on the proposed Company Scheme/ Proposal.*

*Such notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery at the office of the above authorities as required by sub-rule (2) of the Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 60 (Sixty) days from the date of receipt of such notice, failing which it would be deemed that they have no representations to make on the proposed arrangement/proposals.*

ii. *The Applicant Companies shall also serve notice upon other Sectoral Regulators as may be applicable to the Applicant Companies pursuant the section 230(5) of the Companies Act, 2013 and as per the rule 8 of the Companies (Compromises Arrangement & Amalgamation Rules, 2016. If no response is received by the Tribunal from such regulators within 60 (Sixty) days of receipt of the notice it will be presumed that such regulators have no objection to the propose scheme.*

iii. *The Applicant Companies shall file a compliance report with the Registry with regard to the directions given in this Order within 15 days from to-day.*

*15. With the aforesaid directions/observations, the present Company Application, being first motion petition i.e. CA (CAA) No. 16/GB/2021 stands allowed (in terms of its prayer clause) and disposed of."*

3. The Petitioners submit that pursuant to the order passed by this Tribunal dated 24th March, 2022 in Company Application No**. C.A. (CAA)/16/GB/2021,** the petitioner companies have served a copy of the application together with a copy of the said order upon the Central Government, Regional Director, Northeast Region, Ministry of Corporate Affair; Registrar of Companies, NER, Guwahati; Official Liquidator, Gauhati High Court, Guwahati and concerned Income Tax Authorities. Copy of the acknowledgements evidencing service upon the Central Government, Income tax, Official Liquidator office and etc. have been annexed**.**

4. Thereafter, the present Company Petition, (i.e. C.P (CAA) No. 08/GB/2022), has been filed by the Applicants praying for the following reliefs that:

i. The Scheme of Amalgamation mentioned in paragraph "1" of this Petition being Annexure "G to the Petition" be sanctioned by this Tribunal with or without modification/s and be declared to be binding on the Transferor Companies and Transferee Company and their members/shareholders and creditors with effect from the appointed date.

ii. Upon the Scheme becoming effective, all the assets, properties, rights, benefits and advantages, liabilities and obligations of the Transferor Companies shall stand transferred to and vest in the Transferee Company and shall become the assets, properties, entitlements, rights, benefits, advantage, liabilities and obligations of the Transferee Company.

iii. The issuance and allotment of shares by the Transferee Company (Petitioner Company No.3) to the shareholders of the Transferor Companies (including the Petitioner Company NO.1 and Petitioner Company No.2) as envisaged in the said Scheme of Amalgamation be allowed and for that, if necessary, to increase the authorized share capital.

iv. The Transferor Companies (including the Petitioner No.1 and Petitioner No.2) be dissolved without winding up.

v. The Transfer and Transferee Companies shall file certified copy of the NCLT order sanctioning the Scheme of Amalgamation with the Registrar of Companies, Guwahati.

vi. Liberty be reserved to the Transferor and Transferee Companies and all other persons interested in this Petition to apply to this Tribunal as and when occasion may arise for any direction that may be necessary.

vii. Directions be given for any other matter for giving full effect to the said Scheme of Amalgamation.

viii. Such or other order or orders be made and/or directions be given as to this Tribunal may deem fit and proper.

5. The Applicants further submit that:

5.1 The Board of Directors of both the Petitioner Companies have at their Board meetings by a resolution passed and approved the Scheme of Amalgamation and the copy of the same has been annexed.

5.2 The Petitioner Companies have received the certificate from the Statutory Auditor in regard to the effect that the Accounting Treatment, if any, proposed in the scheme of compromise or arrangement is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013 and copies of the same have been annexed.

5.3 None of the Directors of the Petitioner Companies has any material interest in the said Scheme of Amalgamation except as shareholders in general, the extent of which will appear from the Register of Directors and Shareholders maintained by the Company.

5.4 Certificate by the Auditor verifying the List of Shareholder of both the Petitioner Companies as on 31st March, 2021 has been annexed.

5.5 Copy of the valuation report dated 01.11.2021 has been annexed.

5.6 The assets of the Petitioner Companies are sufficient to meet all its liabilities and the said Scheme of Amalgamation will not adversely affect in any manner whatsoever.

5.7 There are no proceedings pending under Section 210, 213 to 216, 219, 220, 222 to 225 of the Companies Act, 2013 against the petitioner companies.

6. The Regional Director, North Eastern Region, Ministry of Corporate Affairs at Guwahati vide its report dated 24.11.2022 submits that:

a) The Transferee Company has filed a Demerger Application – Prime Holdings Private Limited (Demerged Company) with Dholka Plywood

Industries Private Limited (Resulting Company) under sections 230 to 232 of the Companies Act, 2013 and relevant Rules made thereunder with this Bench and the matter is pending before this Bench;

b) S. M. Management Private Limited (Transferor Company No.2) and Prime Holdings Private Ltd. (Transferee Company) being registered with the RBI as NBFC, NOC/comments of RBI in the matter of the scheme are required to be submitted before this bench. No information regarding submission of NOC/comments of RBI is available with this Directorate.

c) The ROC, Guwahati in his report dated 21.07.2022 has pointed out some procedural non-compliance u/s 134(6), 129/schedule III of Companies Act, 2013 and other procedural observation on the financial statements for the FY 2020-21 in regard to transferor and transferee Companies.

d) On examination of the report of the Registrar of Companies, Guwahati dated 21.07.2022 that no Complaint/Inspection/ Investigation/Technical Scrutiny is being carried out against the petitioner companies.

e) The Transferee Company should undertake to comply with the provisions of section 232(3) (i) of the Companies Act, 2013 through appropriate affirmation in respect of fees payable by Transferee Companies for increase of share capital on account of merger of transfer of companies.

f) In compliance of Accounting Standard-14 or IND-AS 103, as may be applicable, the transferee company shall pass such accounting entries which are necessary in connection with the scheme to comply with other applicable Accounting Standards such as AS-5 or IND AS-8 etc.

g) This Tribunal may kindly direct the Petitioner Companies to file an affidavit to the extent that the Scheme enclosed to the Company Application and Company Petition are one and same and there is no discrepancy, or no change is made.

h) The Petitioner Companies under the provisions of section 230(5) of the Companies Act, 2013 have to serve notices to concerned authorities which are likely to be affected by the Amalgamation or arrangement. Further, the approval of the scheme by this Tribunal may not deter such authorities to deal with any of the issues arising after giving effect to the scheme. The decision of such authorities shall be binding on the petitioner companies concerned.

7. The Petitioners vide its reply dated 06.01.2023 to the report of the RD, submit that:

7.1 With reference to paragraph 3 (a) of the said reply, the Transferee Company has filed a Demerger Application-Prime Holdings Private Limited (Demerged Company) with Dholka Plywood Industries Private Limited (Resulting Company) under section 230 to 232 of the Companies Act, 2013 and the relevant rules made thereunder with this Bench and the matter is pending for adjudication with this Bench.

**The Resulting Company falls within the jurisdiction of the NCLT Ahmedabad Bench for which the separate application has been filed and the matter is pending for adjudication with the NCLT Ahmedabad Bench.**

7.2 With reference to paragraph 3(b) of the said reply, S.M Management Private Limited (Transferor Company No. 2) and Prime Holdings Private Limited (Transferee Company) are registered with the RBI as NBFC Company. The RBI has provided the NOC with regard to the sanction of the Scheme which was submitted before this Tribunal on 13.10.2022

by way of an affidavit. Copy of the NOC received form the RBI has been annexed with the reply at ANNEXURE-A.

A. With reference to paragraph 31 of the said report, the following points as raised by the ROC which they have mentioned that the documents were not attached with the petition, whereas the same was attached and the details of the same are as provided below:
    i. Certificate form the statutory auditor of the Transferee Company is attached with the Company petition in Annexure no I of Page no 681 to 685;
    ii. Certificate form the statutory auditor certifying list of secured and unsecured creditors of the Transferee Company is attached with the Company Petition in Annexure No. V in Page No. 725 to 730;
    iii. Affidavit of the Transferee Company verifying the application attached with the company petition in Page No. 94 to 98;
    iv. That the companies complied with the applicable provisions for which the independent audit report of the statutory auditor does not include any adverse remarks against the subject companies;
    v. Valuation Report on the recommendations of share swap/exchange ratio for the scheme of Amalgamation is attached with the Company petition in Annexure J of Page No. 686 to 708;
    vi. S M Management Pvt. Ltd (SMMPL)- Transferor Company No. 2 and Prime Holdings Private Limited (PHPL)- Transferee Company are registered with RBI as a NBFC. **NOC has been Received from RBI and the copy of NOC is attached herewith reply.**

B. With reference to para 31 of the said report, to the observations of the Transferor Company No. 2, the Transferee Company has shown

loan and advances form the Related Parties (unsecured) in notes to account of Balance Sheet in note no. 03 and the said loan has been given as repayable on demand, the Company does not violate the provisions of Section 129 read with schedule III of the Companies Act, 2013.

C. With reference to para 31 of the said report, the point with regard to the demerger proposed by the Transferee Company as raised by the ROC is already covered in this Reply affidavit in Para 5.

D. With reference to para 31 of the aid report, Mr. Shiv Prakash Mittal is the Chairperson of the Transferee Company and was authorized by a resolution passed at the meeting of Board of Directors of the Demerged Company held on 25th June, 2020 to sign the Director's Report of the Transferee Company for financial year 2020-21.

E. With Reference to Para 31 of the said report, the Transferee Company has complied with the Provision of the Schedule II of the Companies Act, 2013 as stated below:

   i. Repairs and maintenance expenses: The repairs and Maintenance expense of Rs. 6,09,515.00 is the annual maintenance charges for the period 01.04.2020 to 31.03.2021 for the immovable property held by the Company as appearing in Note no 5(B) under the head Non-Current Asset-Investments of Rs. 10,16,96,326.00 The Repair and Maintenance expense ledger is attached.

   ii. Compliance of Schedule II: The details of gross value, accumulated depreciation and net value of the property, plant and equipment (PPE) is provided in Note 12 to the financial statements for FY 2020-21. There is only one class of PPE held by the Company during the year as mentioned in Note 4 to the Significant Accounting Policies. The company has applied depreciation on the said class on pro rata basis in accordance

with Schedule II of the Companies Act, 2013. As such, the Company has complied with Schedule II of the Companies Act, 2013.

7.3 With reference to para 3(e) of the said reply, the Transferee Company hereby undertakes that it shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 through appropriate affirmation in respect of fees payable by Transferee Company for increase of Share Capital on account of merger of Companies. The Transferee Company further undertakes that, in compliance of Accounting Standard-14 or IND-AS 103, it shall pass such accounting entries which are necessary in connection with the scheme to comply with other Applicable Accounting Standards such as AS-5 or IND-AS-5 etc.

7.4 With reference to para 3 (g) of the said reply, there is no discrepancy or change to the said Scheme of Amalgamation as is enclosed to Company Application and Company Petition and the Scheme annexed to the Company Application and Company Petition are one and same.

7.5 With reference to para 3 (h) of the said reply, **as per the directions of NCLT, Guwahati Bench vide its order dated 15th September 2022, the Company has served notices to the following authorities in accordance with Section 230(5) of the Companies Act, 2013:**

a. Registrar of Companies, Guwahati
b. Regional Director, Guwahati
c. Official Liquidator, Guwahati
d. Income-tax Authorities, Guwahati

Affidavit confirming the above has been filed on 13th October 2022 which has been annexed.

The Companies undertake that, notwithstanding the approval of the Scheme by NCLT, the relevant statutory authorities governing the Company shall have the right to deal with the issues arising under the relevant statutory laws and that the Company shall comply with and

fulfill all its obligations under the relevant statutory laws and with reference to the relevant statutory authorities. Further, the decision of such authorities' post sanctioning shall be binding on Petitioner Company concerned.

7.6 The Scheme is not prejudicial to the rights and interest of any person. Hence, the said petition may be allowed, and the said Scheme be sanctioned.

8. The Official Liquidator, Guwahati has made its representation dated 16.12.2022 and has no adverse observations, to the extent of proposed Scheme of Arrangement/Amalgamation within the relevant provisions of the Companies Act, 2013.

9. The Income Tax Department vide its letter No. NCLT/ACIT/C-1/DBR/2022-23/115 dated 11.10.2022 has also stated that as per the data available with them, there is no pending proceedings / outstanding demands against the assessee, Vanashree Properties Private Limited and in absence of anything contrary, they have no objection against the application vide U/s 230 – 232 of the Companies Act, 2013 with respect of CA (CAA) No.16/GB/2021 in the case of the assessee, Vanashree Properties Private Limited [PAN:AACCV7844A]

10. In the light of the above given facts and circumstances of the present company scheme petition, we perused the salient features, rationale and objects of the proposed company scheme of amalgamation, which has been annexed and form part of the present company petition. We duly considered the same in the light of well settled legal position that the Tribunal may examine the reasonableness of the Scheme which should be fair and equitable. The approval of a Scheme by its statutory majority itself is a strong evidence of its reasonableness and if such scheme appears to be bona fide and fair then the Tribunal will not act into its merits.

**11.** By considering the entire facts and circumstances of the present company Scheme, we find that all statutory requirements of the provisions of Sections 230-232 of the Act are satisfied. **The present company scheme appears to be genuine and bona fide and it appears to be in the interest of its shareholders and creditors.**

12. Hence, the present Company Scheme Petition deserves to be allowed. Therefore, it is allowed in terms of its prayer/relief clause. Consequently, the proposed company scheme of Amalgamation of **Transferor Companies with Transferee Company** is hereby allowed with following terms and conditions:

12.1 While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law.

12.2 The whole of the property, rights and powers of Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

12.3 All liabilities including taxes and charges, if any and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company without in any way obstructing compliance of depositing outstanding tax dues if any; and

12.4 All proceedings now pending by or against the Transferor Companies, if any, be continued by or against the Transferee Company:

12.5 All employees of the Transferor Companies will become employees of the Transferee Company without any break or interruption of service.

12.6 The Resulting Company falls within the jurisdiction of the NCLT Ahmedabad Bench for which the separate application has been filed and the matter is pending for adjudication with the NCLT Ahmedabad Bench. Hence this approval is subject to the approval of the said petition by the Ahmedabad Bench.

12.7 The timeline given in the matter for compliance shall commence from the date the petition filed before the Ahmedabad Bench, if allowed, is disposed of.

**12.8 Appointed date of merger is 01/10/2021.**

13. The legal fees and expenses of the office of the Official Liquidator are quantified at **Rs. 10,000.00 (Rupees Ten Thousands only)** in respect of the Transferor Companies. The said fees to the Official Liquidator shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

14. The legal fees and expenses of the office of the Regional Director are quantified at **Rs. 25,000.00 (Rupees Twenty-Five Thousands)** in respect of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

15. Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme of Amalgamation duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme of Amalgamation immediately.

16. The petitioner companies are further directed to lodge a copy of this order, the schedule of immovable assets of the Transferor Companies as on the date of this order and the Scheme duly authenticated by the registrar of Tribunal, with

the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, on the same within 60 days from the date of the order.

17. The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme of Amalgamation with the concerned Registrar of Companies, electronically, along with the Form INC-28 within 30 days from the date of issuance of the certified copy of the Order by the Tribunal in addition to physical copy as per relevant provisions of the Companies Act, 2013.

18. With the aforesaid directions, the present joint Company Petition i.e. **CP (CAA) No. 8/GB/2022 is allowed and accordingly stands disposed of** with the above directions and conditions.

| | |
|---|---|
| **Sd/-** | **Sd/-** |
| **(Prasanta Kumar Mohanty)** | **(Deep Chandra Joshi)** |
| **Member (Technical)** | **Member (Judicial)** |